

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, overcast blue.

Accelerating Tesco Clubcard's Strategic Value

STRATEGIC BRIEF

GROUP STRATEGY

Why This Matters Now

23M

CLUBCARD HOUSEHOLDS

84%

UK PENETRATION

87%

ROI



OPERATIONAL LOGIC

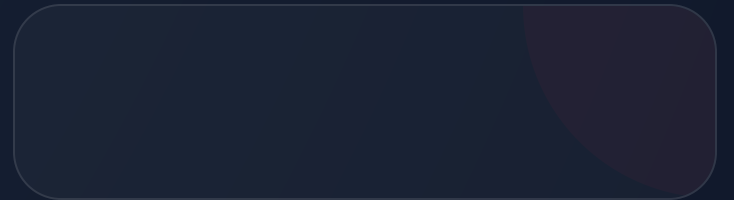
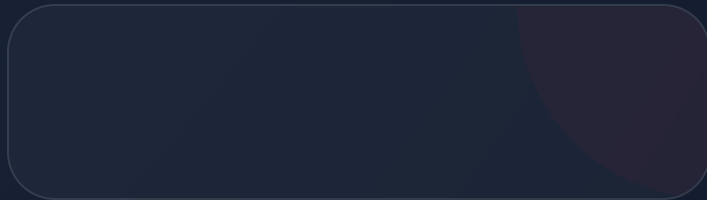
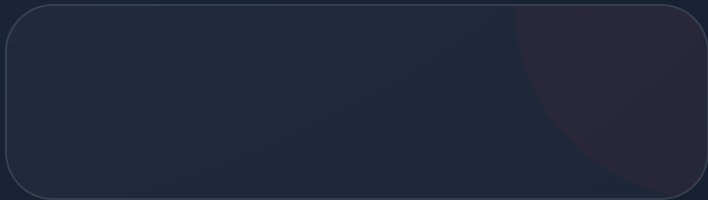
— VALUE PROPOSITION

Our Strategic Partnership Proposition

- Customer Engagement & Retention: Deepen loyalty through hyper-personalisation and emotional connection
- Personalisation at Scale: AI-driven insights to deliver 1:1 relevance across 23M households
- Incremental Revenue & Margin Protection: Unlock £392 annual savings per customer via Clubcard Prices
- Data & Technology Leadership: Future-proof Tesco's digital platform for retail media and ecosystem growth

CASE STUDIES

Global Benchmarks: Loyalty-Led Growth



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"CEO Testimonials: Loyalty as Strategic Priority"

LEADERSHIP PERSPECTIVES

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FINANCIAL VALUE

Clubcard's Financial Impact

£392

ANNUAL SAVINGS PER CUSTOMER

30%

RETAIL MEDIA GROWTH (YOY)

£1.75B

FREE CASH FLOW TARGET



OPERATIONAL LOGIC

STRATEGIC FIT

Strategic Alignment with Tesco's 2025 Priorities

- Magnetic Value: Clubcard Prices and personalised deals drive customer satisfaction (+9pts NPS)
- Digital Capability: AI-powered Challenges and retail media platform (#1 in Europe)
- Convenience: Seamless integration across 1,500+ Whoosh stores and Marketplace
- Save to Invest: £510M efficiency savings reinvested in customer value and innovation



OPERATIONAL LOGIC

STRATEGIC ROADMAP

The Next Chapter for Clubcard

- AI-driven dynamic pricing: Real-time personalisation for 23M households
- Retail media expansion: 5,000+ in-store screens, 9K+ campaigns, WPP/Publicis partnerships
- Ecosystem growth: Tesco Mobile, Insurance, and Marketplace integration for cross-category loyalty
- Sustainability linkage: Clubcard rewards for healthy/sustainable choices (65% healthy sales target)



OPERATIONAL LOGIC

PARTNERSHIP VALUE

Why Partner with Us?

- Proven track record: 30+ years of loyalty innovation, from Clubcard's 1995 launch to today's AI-driven personalisation
- Board-ready outcomes: Fact-based, ROI-driven strategies aligned with Tesco's financial framework
- Global expertise: Partnerships with Walmart, Carrefour, and Coles delivering measurable growth
- Cultural fit: Subtle, understated, and aligned with Tesco's leadership ethos of 'Every Little Helps'

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"Our Commitment to Tesco"

CLOSING STATEMENT

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£63.6B

GROUP SALES (2025)

£3.13B
(+10.6%
YoY)

ADJUSTED OPERATING PROFIT

28.3%
(+67bps)

UK MARKET SHARE

85%
recommend
Tesco as a
Great Place
to Work